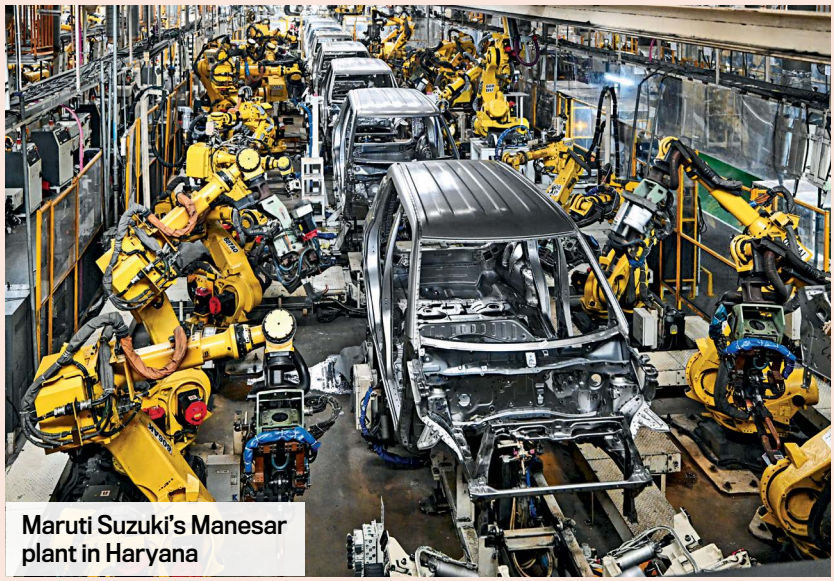
AUTO COMPONENTS

HITTING A ROADBLOCK



Maruti Suzuki's Manesar plant in Haryana

HARDIK CHHABRA

As much as 32 per cent of India's total auto parts exports—worth $21.2 billion (Rs 1.8 lakh crore)—goes to the US. Yet, it accounts for only 3 per cent of all auto components imported by the US from around the world. The 25 per cent tariff hike announced on the sector on March 26, which is not covered by the 90-day moratorium, could alter the long-term dynamics of India's role in the global supply chain.

THE IMPACT

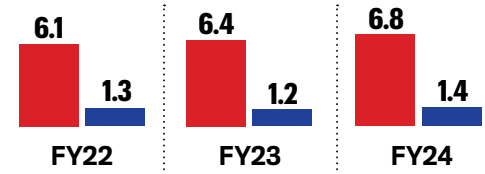
It's unlikely that carmakers will switch to new suppliers overnight. However, in the long run, higher tariffs will make Indian exports less competitive, pushing carmakers to explore alternative sources for auto components. "We believe that the strong Indo-US trade ties, especially in the auto components sector, will encourage continued dialogue to mitigate the impacts of these measures," says Shradha Suri Marwah, president, Automotive Component Manufacturers Association (ACMA).

IN THE LONG RUN, HIGHER TARIFFS WILL MAKE INDIAN EXPORTS LESS COMPETITIVE, PUSHING CARMAKERS TO EXPLORE ALTERNATIVE SOURCES FOR AUTO COMPONENTS

ACMA director general Vinnie Mehta says the association is assessing the situation, and some members are holding back exports due to the prevailing uncertainty. "The fundamental question remains: who bears the cost of the enhanced duty—the importer or the exporter? That apart, it's also crucial to maintain long-term relationships with our customers. Disrupting these relationships could have lasting consequences, so many of our members are cautiously holding back," he says. ■

SIZE OF TRADE

India enjoys a strong auto parts trade surplus with the US, though its share in total US imports remains modest



India's exports to the US ($ bn)
India's imports from the US ($ bn)

Source: ACMA

TARIFF WAR

Earlier
2%
10%

Now
25%
Unchanged

US India

(Average tariff)

HOW TO COME OUT A WINNER

By **VINNIE MEHTA,** *Director General, Automotive Component Manufacturers Association*



Diversify markets, but it is a gradual process, often taking two to three years to build a reliable customer base. We will need some time to fully understand the implications

India's robust domestic market provides a cushion in such times. Of the $74 billion turnover, both exports ($21.2 bn) and imports ($20.9 bn) are almost evenly balanced

Companies will adopt different strategies based on customer profiles. Some have even set up units in Mexico, though the US-Mexico-Canada Agreement's future impact remains unclear